

creditors, loans, etc.) and the shareholders investment in the company (share capital and reserves).

3. The profit and loss account details numerically the activities the company had undertaken during the accounting period and the result of these activities (profit or loss).
4. Contingent liabilities are also detailed. These are liabilities that may arise on the happening of an event that may never arise (guarantees, bills discounted). The liability crystallizes on the happening of the event.
5. The profit and loss account also details the dividend given (interim) and proposed.

Schedules and Notes to the Accounts

1. Schedules and notes to the accounts are found after the financial statements in an annual report.
2. The schedules detail pertinent information about the items of the balance sheet and profit and loss account.
3. The notes are even more important as they give very important information such as the accounting policies that the company has followed, the contingent liabilities of the companies and the like.
4. It is imperative that the schedules and notes to the accounts be read for a clearer understanding of the company's financial condition.

Ratios

1. No investment should be made without analyzing the financial statements of a company and comparing the company's results with that of earlier years.
2. Ratios express mathematically the relationship between performance figures and/or assets/liabilities in a form that can be easily understood and interpreted.
3. No single ratio tells the complete story.